

Summary Consolidated Statement of Profit or Loss and Other Comprehensive Income		
	Audited 31-Dec-19 Shs'000	Audited 31-Dec-18 Shs'000
Gross earned premium and fund management fees	27,667,284	24,986,224
Less: Reinsurance premium ceded	(4,021,978)	(3,263,451)
Net earned revenue	23,645,306	21,722,773
Investment income	7,713,830	6,160,381
Net (loss)/income from investment property	(747,036)	507,207
Gains/(losses) on financial assets at fair value through profit or loss	4,777,716	(3,049,273)
Commissions earned	999,870	857,381
Other income	56,566	195,142
Total income	36,446,252	26,393,611
Expenses		
Net insurance claims, increase in policyholders' benefits and loss adjustment expenses	15,442,505	14,247,140
Interest payments/increase in unit value	3,889,475	1,688,638
Operating and other expenses	8,794,161	8,244,558
Finance costs	234,667	905,567
Commissions expense	3,461,322	3,313,922
Total expenses	31,822,130	28,399,825
Profit/(loss) before share of loss of associate	4,624,122	(2,006,214)
Share of loss of associate	(53,099)	(289,656)
Profit/(loss) before tax	4,571,023	(2,295,870)
Income tax (expense)/credit	(1,028,398)	85,585
Profit/(loss) for the year	3,542,625	(2,210,285)
Gains/(losses) on revaluation of financial assets at fair value through other comprehensive income	2,262,408	(594,413)
Others	(384,377)	(51,598)
Total other comprehensive income/(loss)	1,878,031	(646,011)
Comprehensive income/(loss) for the year	5,420,656	(2,856,296)
Basic and diluted earnings/(losses) per share (Shs)	1.41	(0.92)

Summary Consolidated Statement of Financial Position		
	Audited 31-Dec-19 Shs'000	Audited 31-Dec-18 Shs'000
Share capital	252,344	252,344
Share premium	13,237,451	13,237,451
Other reserves	17,112,694	11,756,927
Retained earnings	(1,306,941)	(1,387,488)
Shareholders funds	29,295,548	23,859,234
Non-controlling interest	81,278	96,936
Total equity	29,376,826	23,956,170
Assets		
Fixed and intangible assets	3,234,671	3,487,606
Investment assets	107,809,093	84,943,115
Insurance assets	7,971,738	7,948,743
Cash and cash equivalents	966,214	2,609,048
Other assets	5,261,849	4,667,820
Total assets	125,243,565	103,656,332
Liabilities		
Insurance liabilities	85,979,477	71,348,833
Borrowings	2,352,716	2,786,861
Other liabilities	7,534,546	5,564,468
Total liabilities	95,866,739	79,700,162
Net assets	29,376,826	23,956,170

Summary Consolidated Statement of Cashflows		
	Audited 31-Dec-19 Shs'000	Audited 31-Dec-18 Shs'000
Operating activities		
Cash generated from operations	9,482,792	5,496,143
Income tax paid	(512,022)	(665,134)
Net cash generated from operating activities	8,970,770	4,831,009
Net cash used in investing activities	(7,512,901)	(5,384,402)
Net cash used in financing activities	(603,959)	(1,148,361)
Net increase/(decrease) in cash and cash equivalents	853,910	(1,701,754)
Movement in cash and cash equivalents		
At the start of the year	6,721,401	8,423,155
Increase/(decrease)	853,910	(1,701,754)
At end of the period	7,575,311	6,721,401

Summary Consolidated Statement of Changes in Equity				
	Share capital	Share premium	Retained earnings and other reserves	Total equity
	Shs'000	Shs'000	Shs'000	Shs'000
At 1 January 2019	252,344	13,237,451	10,466,375	23,956,170
Profit for the period			3,542,625	3,542,625
Other comprehensive income			1,878,031	1,878,031
At 31 December 2019	252,344	13,237,451	15,887,031	29,376,826

Independent Auditor's Report on the Summary Financial Statements to the Shareholders of Britam Holdings Plc

Opinion

We have audited the summary financial statements of Britam Holdings Plc, which comprise the summary consolidated statement of financial position at 31 December 2019 and the summary consolidated statement of profit or loss and other comprehensive income, changes in equity and cash flows for the year then ended which are derived from the audited financial statements of Britam Holdings Plc and its subsidiaries (together, the "Group") for the year ended 31 December 2019.

In our opinion the accompanying summary financial statements are consistent, in all material respects, with the audited financial statements of the Group which are prepared in accordance with International Financial Reporting Standards (IFRS) and the Kenyan Companies Act, 2015.

The summary directors' remuneration report is derived from the directors' remuneration report for the year ended 31 December 2019.

Summary financial statements and directors' remuneration report

The summary financial statements do not contain all the disclosures required by International Financial Reporting Standards and in the manner required by the Kenyan Companies Act, 2015. In addition, the summary directors' remuneration report does not contain all the disclosures required by the Companies (General) (Amendment) (No. 2) Regulations, 2017.

Reading the summary financial statements, the summary directors' remuneration report and the auditor's report thereon, therefore, is not a substitute for reading the audited financial statements, the directors' remuneration report and the auditor's report thereon. The summary financial statements, the summary directors' remuneration report and the audited financial statements do not reflect the effects of events that occurred subsequent to the date of our report on the audited financial statements.

The audited financial statements and our report thereon

We expressed an unmodified audit opinion on the audited financial statements in our audit report dated 2 April 2020 and also confirmed that the auditable part of the directors' remuneration report was prepared in accordance with the Kenyan Companies Act, 2015. That audit report also includes the communication of key audit matters. Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the current period.

Directors' responsibility for the summary financial statements

The directors are responsible for the preparation of the summary financial statements and the summary directors' remuneration report in accordance with the International Financial Reporting Standards and Kenyan Companies Act, 2015.

Auditor's Responsibility

Our responsibility is to express an opinion on whether the summary financial statements and the summary directors' remuneration report are consistent, in all material respects, with the audited financial statements based on our procedures, which were conducted in accordance with International Standard on Auditing (ISA) 810 (Revised), Engagements to report on summary financial statements.

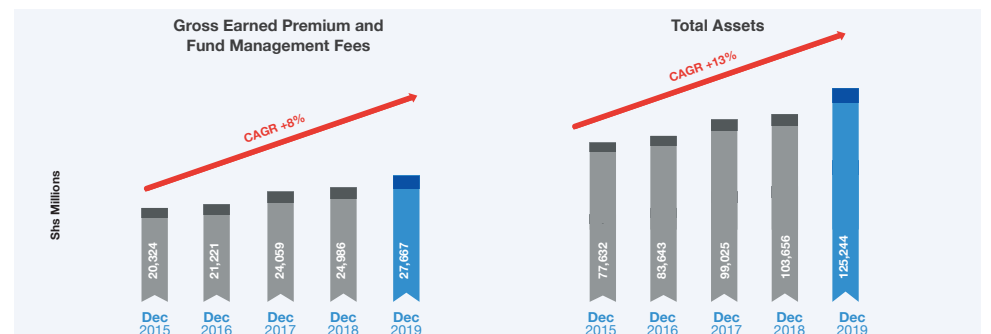
PricewaterhouseCoopers LLP

Certified Public Accountants

Nairobi

2 April 2020

CPA Bernice Kimacia, Practising certificate No. 1457
Signing partner responsible for the independent audit



2019 Performance Highlights

The Group has reported a profit before tax of Shs 4.6 billion compared to a loss before tax of Shs 2.3 billion in 2018. This was on the back of good performance as below: -

- The gross earned premiums growth of 12 percent.
- Increased growth of the embedded value of the Britam Life Assurance Company to Shs 16.9 billion, representing a return of 27 percent.
- Improved returns from equities and fixed income investments.
- Total assets growth to Shs 125.2 billion, a growth of 21 percent from 31 December 2018.
- The assets under management achieved an accelerated growth of 55 percent to Shs 227.0 billion within the reporting period.

Update on our Strategy

2020 presents a challenging macro environment. There are a number of key global and regional risks that affect the Group including Covid - 19, locusts' invasion and a decline in the stock market performance. We are optimistic that there will be concerted effort to mitigate the effects of these adverse developments to the economies and the world at large. We will continue executing our strategy with a specific focus on;

- Creating value for our current customer base and developing products/services that resonate with the rest of the market that is under-insured and under-served;
- Continued enhancement of our customer experiences supported by our investments in technology; and
- Ensuring continued customer convenience by pursuing strategic partnerships that enhance customer value.

Summary of directors' remuneration report

During the year the Group paid Shs 159.8 million (2018: Shs 151.3 million) as directors' remuneration.

Other Matters

- The Board of Directors recommend the payment of a dividend for the year of Shs 630.9 million or 25 cents per share (2018: nil).
- The Annual General Meeting date will be communicated later.

The above summary Consolidated Statement of Profit or Loss and Other Comprehensive Income, Summary Consolidated Statement of Financial Position, Summary Consolidated Statement of Cash Flows and other disclosures are extracted from the 2019 Audited Consolidated Financial Statements which were approved by the Board of Directors on 2 April 2020 and received an unqualified opinion from the Group's auditor, PricewaterhouseCoopers LLP dated 2 April 2020 and signed on its behalf by:

Mr. W. Andrew Hollas
Chairman

Dr. Benson I. Wairegi, EBS
Group Managing Director